Dossier — VRDN

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VRDN · VRDN — Veligrotug PDUFA (Thyroid Eye Disease)

Stage: ACTIVE | **Strategy:** FDA PDUFA | **Score:** 31.5 | **Next catalyst:** — | **Urgency:** HIGH

Viridian's stock crashed 51% on issues unrelated to the drug being reviewed on June 30 (Thyroid Eye Disease). → Potential outcomes: FDA approval with broad label (+36-105%), approval with narrow label (+20-40%), or Complete Response Letter (-45-66%).

HYPOTHESIS *(the specific bet)*

The FDA approves veligrotug for Thyroid Eye Disease on June 30, 2026, and the stock re-rates from $14.66 toward $20-30 (+36% to +105%) as the dislocation-driven selloff reverses.

THESIS *(why we believe it, in plain English)*

> Thyroid Eye Disease (TED) is a disfiguring autoimmune condition where eye muscles swell and bulge. Only one drug is approved (Horizon/Amgen Tepezza, 8 infusions). Viridian's veligrotug has THREE advantages: (a) only 5 infusions vs. 8 — fewer visits, better compliance; (b) two positive Phase 3 trials covering BOTH active AND chronic TED (Tepezza is used mostly in active); (c) better hearing-loss safety (5.5% placebo-adjusted vs. ~10% — hearing loss is the most feared side effect). The BLA has Priority Review AND Breakthrough Therapy. WHY the crash from $34 to $14.66: (1) Viridian's DIFFERENT drug — elegrobart — reported Phase 3 data March 30 that disappointed investors, 27% one-day drop; (2) Amgen's positive Phase 3 for subcutaneous Tepezza in early April raised competitive fears. CRITICAL: neither affects veligrotug's approval probability. Stock now below even the most bearish analyst target ($20).

EXPECTED OUTCOME *(what happens if we're right)*

Approval June 30 (high probability given data package): stock rebounds toward low-end sellside targets. Best case (broad label covering active + chronic, clean safety): mid-$20s. Ceiling $30-34 only if elegrobart REVEAL-2 also positive. Worst case (CRL): $5-8.

PRICE TARGETS

Reference	$18.84 (2026-04-05)
Upside (base)	$20-22 (+36% to +50%) — approval with standard label
Upside (best)	$28-30 (+91% to +105%) — approval + elegrobart REVEAL-2 positive
Downside	$5-8 (-45% to -66%) — CRL scenario

TIME SENSITIVITY *[HIGH]*

> HIGH — PDUFA June 30, 2026 (74 days). Enter now — 10+ weeks of runway allows accumulation without paying event-week premium. Elegrobart REVEAL-2 readout in Q2 provides secondary catalyst.

KILL WATCH *(what would invalidate the thesis)*

FDA information request signaling 'Major Amendment' (pushes PDUFA 3 months). Hearing-loss safety signal in post-market Tepezza updates. Elegrobart REVEAL-2 misses badly + management signals dilution.

Background & detail (source markdown)

The section below is the longer analyst note for VRDN. The card on the preceding page is the decision-ready summary.

Candidate: VRDN — Veligrotug PDUFA (Thyroid Eye Disease)

> ■■ **DEMOTED TO WATCHLIST — 2026-04-10 Session 26** — Score revised from 31.5 to **26.0** after REVEAL-1 elegrobart SC Phase 3 topline data (Mar 30) and subsequent -26% crash (Apr 6). Cumulative -43.8% from Mar 27. REVEAL-1 showed placebo-adj responder rates below expectations, weakening the SC franchise extension thesis. Veligrotug IV PDUFA June 30 is intact but franchise value is materially lower. See `working/session26_vrdn_reveal_impact.md` and DECISIONS.md D-034. The sections below are preserved for historical reference but scoring is stale.

> **Score**: 31.5 / 42.5 → **26.0 (revised Session 26)**

> **Status**: ~~Active~~ → **WATCHLIST (demoted)**

> **Source Strategy**: FDA PDUFA

> **Date Identified**: 2026-04-09

> **Last Updated**: 2026-04-10 (Session 26 — DEMOTION)

Company Overview

- **Name**: Viridian Therapeutics Inc
- **Ticker / ISIN**: VRDN / US92763M1053
- **Exchange**: NASDAQ
- **Market Cap**: ~$1.46B
- **Sector**: Biotechnology — Ophthalmology / Endocrinology
- **Analyst Coverage**: 11 analysts
- **52-Week Range**: $9.90 - $34.29
- **Current Price**: ~$14.33 (as of April 8, 2026)

Thesis

Viridian Therapeutics has a near-certain FDA approval upcoming for veligrotug, an IV anti-IGF-1R antibody for thyroid eye disease (TED), with a PDUFA date of June 30, 2026. The BLA was granted Priority Review and Breakthrough Therapy designation, and both Phase 3 trials (THRIVE for active TED, THRIVE-2 for chronic TED) met all primary and secondary endpoints with robust efficacy data. The probability of regulatory approval is high.

The opportunity arises from a severe dislocation: VRDN stock has fallen ~51% from its 52-week high ($34.29 to ~$14.33) due to two factors unrelated to veligrotug's approval probability: (1) elegrobart Phase 3 REVEAL-1 data (March 30) met its primary endpoint but disappointed investor expectations, triggering a 27% single-day drop, and (2) Amgen announced positive Phase 3 results for subcutaneous Tepezza in early April, intensifying competitive fears. These concerns affect the commercial outlook, not the regulatory outcome — yet the stock is now trading well below even the most bearish analyst target ($20).

The market may be mispricing the veligrotug PDUFA catalyst. An approval announcement on June 30 would validate the near-term commercial opportunity and likely trigger a re-rating. Veligrotug retains differentiated positioning: only 5 infusions (vs Tepezza's 8), data in both active and chronic TED (unique), and a favorable hearing safety profile (5.5% placebo-adjusted vs Tepezza's ~10%).

Signal Evidence

Signal	Source	Date	Detail
BLA accepted, Priority Review	FDA	2025-12-22	PDUFA Jun 30, 2026. 6-month review timeline.
Breakthrough Therapy designation	FDA	2025	Granted for veligrotug in TED
THRIVE Phase 3 — active TED met all endpoints	Clinical trial	2024	70% PRR vs 5% placebo, 2.9mm mean proptosis reduction
THRIVE-2 Phase 3 — chronic TED met all endpoints	Clinical trial	2024	56% PRR vs 8% placebo, 2.34mm mean proptosis reduction
Stock ~51% below 52-week high	Price action	2026-04-08	Elegrobart disappointment + Amgen competition selloff

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Scoring Breakdown

Dimension	Score (1-5)	Weight	Weighted	Rationale
Signal Strength	4	×2	8	Priority Review + Breakthrough + two clean Phase 3s. Approval highly likely.
Catalyst Clarity	5	×1	5	PDUFA June 30 — exact date known
Info Asymmetry	2	×1.5	3	Well-covered (11 analysts). No information edge on approval.
Risk/Reward	4	×1	4	$14.33 vs avg PT $37-42 (159-193% upside). Even lowest PT ($20) = 40% upside.
Edge Decay	2	×1	2	Well-covered. But dislocation magnitude may not be appreciated.
Liquidity	4	×1	4	NASDAQ, $1.46B cap, adequate volume.
Catalyst Timeline	4	×1	4	82 days to PDUFA — actionable with time for thesis development.
Base Total			**31.5**	
Convergence Bonus			+0	Single-strategy (FDA PDUFA only)
Final Score			**31.5**	

Catalyst Map

Event	Expected Date/Window	Impact if Positive	Impact if Negative
Veligrotug PDUFA	June 30, 2026	Approval → re-rating toward $20-30 range	CRL → stock collapse to $5-8

| Elegrobart REVEAL-2 (chronic TED) | Q2 2026 | Strong data restores franchise confidence | Weak data confirms elegrobart weakness |

| Amgen SC Tepezza sBLA | Late 2026 (est) | N/A for approval; but approval narrows veligrotug's competitive window |

| EU MAA submission | H1 2026 planned | Expands addressable market | Delay signals regulatory concerns |

Deep Dive Findings

Clinical Data Assessment

Veligrotug THRIVE (active TED):

• Primary: 70% PRR vs 5% placebo (p<0.0001). Placebo-adjusted PRR = 64%.

• Mean proptosis reduction: 2.9mm vs 0.5mm placebo.

• Rapid onset: 53% achieved PRR after just 1 infusion (week 3).

• Diplopia: 54% complete resolution vs 12% placebo.

• Hearing impairment: 16% incidence (10.5% placebo) → 5.5% placebo-adjusted.

Veligrotug THRIVE-2 (chronic TED):

• Primary: 56% PRR vs 8% placebo (p<0.0001).

• Mean proptosis reduction: 2.34mm vs 0.46mm.

• Hearing impairment: 12.8% incidence (3.2% placebo) → 9.6% placebo-adjusted.

Assessment: Clean, robust data in both active and chronic populations. Approval probability is very high. No safety signal that would warrant an AdCom or CRL.

Competitive Landscape

Amgen's Tepezza (teprotumumab) — the incumbent:

• IV formulation: 8 infusions over 24 weeks. FDA-approved for active TED.

• SC formulation: Phase 3 positive (April 2026) — 77% PRR, 3.17mm mean reduction. sBLA expected.

• ~$2B peak sales. Established sales force and brand recognition.

Veligrotug's differentiation:

• 5 infusions over 12 weeks (vs Tepezza 8 over 24) — dosing convenience advantage.

• Data in chronic TED (THRIVE-2) — Tepezza only approved for active TED.

• Better hearing safety: 5.5% placebo-adjusted (THRIVE) vs Tepezza's ~10%.

• Full IGF-1R antagonist (vs Tepezza's partial antagonism) — may explain better chronic response.

Elegrobart (VRDN's SC pipeline):

• REVEAL-1 Phase 3 met primary endpoint (54-63% PRR) but investors expected better.

• REVEAL-2 readout Q2 2026 — important for long-term franchise value.

• SC autoinjector format competes directly with Amgen SC Tepezza.

Financial Position

• Pre-revenue company. Cash runway not assessed in detail but funded through PDUFA based on recent 10-K filings.

• No revenue until post-approval launch (H2 2026 at earliest).

Web Research — News & Narrative Context

Recent News (last 30 days)

Date	Headline / Summary	Source	Thesis Impact
2026-04-06	Stock drops 27% on elegrobart REVEAL-1 data digest	[QuiverQuant](https://www.quiverquant.com/)	Weakens (but not related to veligrotug approval)
2026-04-04	Amgen announces positive SC Tepezza Phase 3 results	[Amgen PR](https://www.amgen.com/newsroom/)	Weakens commercial thesis
2026-04-07	RBC Capital cuts PT $42→$30 (maintains Outperform)	[GuruFocus](https://www.gurufocus.com/)	Weakens
2026-04-07	Goldman Sachs cuts PT $36→$31	[GuruFocus](https://www.gurufocus.com/)	Weakens
2026-04-02	Evercore ISI cuts PT $45→$32	[GuruFocus](https://www.gurufocus.com/)	Weakens
2026-03-31	HC Wainwright cuts PT $34→$22	[DailyPolitical](https://www.dailypolitical.com/)	Weakens
2026-03-30	Elegrobart REVEAL-1 positive topline (met primary endpoint)	[BusinessWire](https://www.businesswire.com/)	Neutral for veligrotug thesis
2025-12-22	BLA accepted, Priority Review granted for veligrotug	[Viridian IR](https://investors.viridiantherapeutics.com/)	Supports

Market Narrative Assessment

• **Consensus view**: The market is focused on competitive fears (Amgen SC Tepezza) and elegrobart disappointment, leading to a broad repricing of VRDN's franchise value. Approval of veligrotug is expected but its commercial potential is being questioned.

• **Narrative gap**: The selloff has compressed the stock to a level where the veligrotug PDUFA alone could drive significant upside, independent of long-term franchise value debates. The market may be conflating elegrobart commercial uncertainty with veligrotug regulatory risk — these are separate events.

• **Narrative risk**: (1) REVEAL-2 data disappoints again → elegrobart franchise collapses → stock falls further; (2) FDA issues unexpected CRL; (3) Amgen prices SC Tepezza aggressively, reducing veligrotug's commercial opportunity.

Analyst & Institutional Activity

• **Recent analyst actions**: 4+ analysts cut price targets in late March / early April 2026. However, consensus remains Buy (11 analysts). No downgrades to Sell or Hold reported. RBC Capital ($30), Goldman ($31), Evercore ($32) all still imply significant upside from $14.33.

• **Institutional ownership changes**: One major fund cut a position by $80M+ (reported March 2026). Direction is negative but may reflect portfolio rebalancing rather than thesis change.

Litigation, Regulatory & Governance

• **Pending litigation**: None identified in research.

• **Regulatory actions**: None. Clean regulatory history.

• **Governance red flags**: None identified.

Social & Alternative Sentiment

• **Retail sentiment**: Not assessed in detail. Biotech PDUFA plays tend to attract retail attention 2-4 weeks before the catalyst date.

• **Short interest context**: Not assessed. To be checked in pre-PDUFA monitoring.

Web Research Verdict

Weakens but does not kill — The competitive landscape has deteriorated (Amgen SC Tepezza), and the market is repricing the entire VRDN franchise. However, the thesis is specifically about the veligrotug PDUFA catalyst, not the long-term franchise value. At $14.33, the stock appears to price in too much downside relative to the approval probability. The kill conditions are: CRL, safety signal, or pre-PDUFA stock appreciation above $20 (which would reduce the risk/reward).

Kill Conditions

1. **FDA issues CRL for veligrotug** → immediate kill. No appeal.

2. **Pre-PDUFA safety signal** (hearing loss reports, FDA safety communication) → re-evaluate; likely kill.

3. **Stock rises above $20 pre-PDUFA** (>40% appreciation from current) → risk/reward deteriorates; downgrade to Watchlist.

4. **Elegrobart REVEAL-2 fails** (misses primary endpoint) → reduces franchise value significantly; re-score. Does not directly kill veligrotug thesis but reduces upside ceiling.

5. **FDA requests AdCom** → significant negative signal; re-evaluate.

Position Structure (Framework Only)

• **Conviction tier**: High (31.5 score)

• **Suggested sizing framework**: Satellite (2-5% portfolio) — binary PDUFA event

• **Entry trigger**: Consider entry 30-45 days pre-PDUFA (mid-May) if price remains below $18 and no kill conditions triggered

• **Exit trigger**: PDUFA decision day (June 30) or kill condition triggered

• **Time horizon**: Event-driven (82 days)

Note: This is a structural framework, not investment advice. All sizing and timing decisions are Pedro's.

Sources

• [Viridian BLA Acceptance PR](https://investors.viridiantherapeutics.com/news/news-details/2025/Viridian-Therapeutics-Announces-BLA-Acceptance-and-Priority-Review-for-Veligrotug-for-the-Treatment-of-Thyroid-Eye-Disease/default.aspx)

• [THRIVE Phase 3 Results](https://investors.viridiantherapeutics.com/news/news-details/2024/Viridian-Therapeutics-Announces-Positive-Topline-Results-from-Veligrotug-VRDN-001-Phase-3-THRIVE-Clinical-Trial-in-Patients-with-Active-Thyroid-Eye-Disease/default.aspx)

• [THRIVE-2 Phase 3 Results](https://investors.viridiantherapeutics.com/news/news-details/2024/Viridian-Therapeutics-Announces-Positive-Topline-Results-from-Veligrotug-Phase-3-THRIVE-2-Clinical-Trial-in-Patients-with-Chronic-Thyroid-Eye-Disease/default.aspx)

• [Elegrobart REVEAL-1 Results](https://www.businesswire.com/news/home/20260330779172/en/Viridian-Therapeutics-Announces-Positive-Topline-Results-from-Elegrobart-Phase-3-REVEAL1-Clinical-Trial-in-Active-Thyroid-Eye-Disease)

• [Amgen SC Tepezza Phase 3](https://www.amgen.com/newsroom/press-releases/2026/04/amgen-announces-positive-topline-phase-3-results-for-subcutaneous-tepezza-in-adults-living-with-moderate-to-severe-active-thyroid-eye-disease)

• [THRIVE Hearing Safety (PMC)](https://pmc.ncbi.nlm.nih.gov/articles/PMC12545473/)

• [THRIVE-2 Safety (PMC)](https://pmc.ncbi.nlm.nih.gov/articles/PMC12544769/)

• [RBC Capital PT Cut](https://www.gurufocus.com/news/8778831/vrdn-rbc-capital-lowers-price-target-on-viridian-therapeutics-vrdn-stock-news)

Session 19 Kill-Condition Sweep (2026-04-10 — Scheduled Run)

Stock price: $13.90 (down from $14.33 at last update on 2026-04-08, –3%)

Average PT: $33.47 (range $19–$50)

Consensus: Strong Buy (11 Buy / 1 Hold / 0 Sell)

Kill conditions re-checked:

1. **CRL for veligrotug**: Not issued. No FDA communication since BLA acceptance Dec 2025. CLEAR.

2. **Pre-PDUFA safety signal**: None reported. CLEAR.

3. **Stock >$20 pre-PDUFA**: Currently $13.90. CLEAR.

4. **Elegrobart REVEAL-2 fails**: Not yet readout (Q2 2026). OPEN — continue monitoring.

5. **AdCom called**: No AdCom announcement. CLEAR.

New concerning data points:

• **Unusual put options buying** reported April 6 (Markets Daily). Traders purchased large volume of puts — positioning for downside. Could be hedging by institutional holders, speculation about CRL, or elegrobart REVEAL-2 fear. **Action**: Monitor if put/call ratio remains elevated or normalizes.

• PTs compressing: H.C. Wainwright at just $22 (lowest). Even the bullish consensus has moved from $37-42 to $33.47.

• Stock now 59% below 52-week high of $34.29.

Thesis status: INTACT. Score remains 31.5 but margin of safety has widened further as stock dropped another 3%. Upside to avg PT now 141%; upside to HC Wainwright floor PT is 58%.

Next check: Late May (T-30) for pre-entry window. Also check:

• Q1 2026 earnings (expected early May) for cash runway commentary

• REVEAL-2 readout timing (scheduled Q2 2026)

• Put options flow — if sustained, investigate source

Session 19 sweep — 2026-04-10 03:50 UTC

• [Analyst Consensus (StockAnalysis)](https://stockanalysis.com/stocks/vrdn/forecast/)

• [Viridian 2026 Outlook](https://investors.viridiantherapeutics.com/news/news-details/2026/Viridian-Therapeutics-Prepares-for-Transformational-2026/default.aspx)

Monitoring Log

| Date | Update |

|------|--------|

| 2026-04-09 | Initial candidate writeup. Score 31.5. Stock $14.33, PDUFA Jun 30. Two Phase 3 met all endpoints. Competitive pressure from Amgen SC Tepezza. Elegrobart REVEAL-1 disappointed but not relevant to veligrotug approval. Next check: late May (T-30 days). |

| 2026-04-10 | **CRITICAL UPDATE**: Amgen TEPEZZA OBI Phase 3 data released — 77% proptosis response rate vs 19.6% placebo (24-week). This is numerically stronger than Viridian's elegrobart SC results (54% Q4W, 63% Q8W). VRDN shares fell ~25% to ~$14.69 on the news. However: (1) TEPEZZA OBI is a competitor to elegrobart, NOT veligrotug — different mechanism; (2) veligrotug's THRIVE data (70% proptosis response at 15 weeks, maintained at 52 weeks) remains competitive; (3) Leerink maintained Outperform, called selloff "overdone"; (4) veligrotug has SC injection advantage over TEPEZZA IV. **Assessment**: Kill conditions NOT triggered. Competitive pressure increases on the franchise level but veligrotug approval thesis is unchanged. The stock dislocation actually IMPROVES risk/reward — at ~$14-15, analyst PTs of $30-32 imply 100%+ upside. Score unchanged at 31.5 but risk/reward dimension could be re-scored higher. Next check: late May (T-30). Watch for: REVEAL-2 data (Q2 2026), Amgen TEPEZZA SC regulatory filing timeline, any FDA communications. |

| 2026-04-10 (Session 20) | **Recovery confirmation**. Pulled VRDN daily closes via yfinance: Apr 2 $18.84 → Apr 6 $13.90 (dump day, 14.52M volume) → Apr 7 $13.96 (6.60M) → Apr 8 $14.47 (4.59M) → **Apr 9 $15.38 (2.72M)**. The stock is up 10.6% from the $13.90 low over 3 sessions with *declining* volume — classic technical recovery pattern after a capitulation event, not a dead-cat bounce with continued distribution. Market cap now $1.57B (102.2M shares × $15.38). Truist lowered PT $40 → $36 but kept Buy; consensus remains Buy/Strong Buy across 11-14 covering analysts. Stifel (Alex Thompson) called out Amgen's 77% proptosis response rate as stronger than elegrobart's Q4W/Q8W numbers — this is already in the candidate file from Session 19. SeekingAlpha framing: "Clinically Active But Not Market-Dominating" — confirms the base case that elegrobart is a second-tier asset but veligrotug (the IV first-gen with the Jun 30 PDUFA) is differentiated. **New finding — margin of safety at $15.38**: downside to bear-case $10 = –35%, upside to consensus $30 = +95%, R:R = 2.7. Still favorable. Thesis INTACT, score 31.5 unchanged, no kill conditions triggered. Next action: continue monitoring, full T-30 re-check in late May. **Watch item**: If stock rallies to >$20 on soft data (e.g., market rotation into biotech) without a real catalyst, margin of safety would compress — re-score. |

| 2026-04-10 (cont.) | **Stabilization check**: Stock at $14.33 (+3.08% on Apr 8), showing early stabilization after selloff. Analyst consensus remains Buy (11 analysts), avg PT $39.80 — 178% upside from current levels. No new sell ratings. No new FDA or regulatory news. BLA remains on track for June 30 PDUFA. Wells Fargo cut to $20 (lowest), Goldman to $31, HC Wainwright to $22 — even the lowest targets imply 40-53% upside. Kill conditions all clear. No changes to thesis or score. |

| 2026-04-10 (S18) | **Session 18 refresh**: Stock ~$13.90-14.69. Avg PT now $34.82 (17 analysts, down from $39.80). Additional PT cuts: Needham $42→$32, RBC $42→$30, Evercore $45→$32. Consensus STILL Buy. Stock 51% below 52-wk high. Key competitive update: Amgen SC TEPEZZA is competitor to elegrobart (SC vs SC), NOT to veligrotug (IV). Veligrotug differentiation intact: 5 infusions vs 8, chronic TED data, better hearing safety. Bull case: veligrotug approved June 30 → stock re-rates to $20-30. Bear case: even with approval, SC formulation war compresses long-term franchise value. REVEAL-2 (chronic TED, elegrobart) still expected Q2 2026 — this will be pivotal for franchise sentiment. Score 31.5 UNCHANGED. Kill conditions clear. Next deep check: late May (T-30). |

| 2026-04-10 (S19) | **Session 19 routine check**: Stock ~$15.23 (some recovery from $13.90 low). One source reports 19% drop from competitive pressure, stabilizing. 11 analysts Buy consensus, avg PT $37.64. REVEAL-2 (chronic TED, elegrobart) still on track Q2 2026 — no announcement yet. No new FDA communications. No new competitive developments. Kill conditions clear. Score 31.5 UNCHANGED. Next deep check remains late May (T-30). 81 days to PDUFA. |

| 2026-04-10 (S21) | **Session 21 brief check**: No new adverse developments. PDUFA still June 30 (81 days). Long-term durability data from THRIVE at 52 weeks: 70% of proptosis responders at week 15 maintained ≥2mm reduction — strong signal for chronic / durability label language. Elegrobart REVEAL-1 topline from March 31 was positive (franchise support, not directly relevant to veligrotug). No new FDA communications. No new competitive developments beyond the known

Amgen SC TEPEZZA overhang. Kill conditions clear. Score 31.5 UNCHANGED. Next deep check remains late May (T-30). **|**

| 2026-04-10 (S22) **| Session 22 brief check**: VRDN Apr 9 close $15.38 on 2.72M volume — flat from Session 21 reading, still well above the Apr 6 $13.90 low. Recovery pattern holding. T-80 (PDUFA June 30). No new scanner signals (Congressional dedup, no EDGAR hit, no ESMA delta). No web news. Kill conditions all clear (5/5). Cash runway still adequate (Q1 earnings early May for confirmation). Elegrobart REVEAL-2 still expected Q2 2026. Score 31.5 UNCHANGED. No action needed. Next deep check late May (T-30). **|**